

renting a downtown loft might be a little higher than that of leasing a house in the suburbs. But factor in the savings on transit costs, gas, bus or commuter train fares, parking, and insurance, and you're probably saving money.

But here's the best cost-saving advice: If you buy, consider buying used. The best reason to buy used vehicles is that the car's depreciation value was someone else's problem. What you're buying is simply a car worth X amount. But before you sign anything, make sure you take the used car to a mechanic you trust or one recommended by a friend.

I mentioned I bought a Porsche, which I call my midlife crisis vehicle. I love it, but it's the biggest waste of money on the planet, up there with my lake house, which requires a fortune in upkeep. I can afford these indulgences and luxuries, but you will never hear me justifying them or calling them investments. I work hard, and I reward myself—within my means. But I curse that car every time a \$2,000 flat tire or \$5,000 electrical glitch crops up.

Money Mistake: Your Car Is Eating Your Cash

THE FIX: LEASE YOUR VEHICLE OR BUY USED

If you can't go completely car-free, here's something to consider: Leasing a car often makes more sense than buying a car, especially if you're financing the purchase. As you know, I like certainty. I like knowing my monthly nut. Leasing a car doesn't require a huge down payment, and I know that if the transmission blows or the timing belt cracks, I can take it in for repairs, usually for free. And if I lease an outright lemon, it'll be replaced. Leasing costs a certain amount over a certain period of time, and when that time's up, I can swap my car for a new vehicle, or purchase it at its remaining value.

Wait a minute, you say. Isn't it better to be building equity in your vehicle by buying it rather than essentially renting a car by leasing? Only if you can afford to buy it outright, which most people can't. However, if you do think you're going to drive the same vehicle for fifteen years, buying's always the better option, especially if you know